for trade-related transactions—a move that could deepen rupee-based trade settlement with neighbouring economies. The second measure is to establish transparent reference rates for currencies of India's major trading partners to facilitate rupee-based transactions. This is expected to make pricing more predictable and encourage the use of the rupee for invoicing and settlement in international trade. The third step allows wider use of Special Rupee Vostro Account (SRVA) balances, which currently enable trade settlement in local currency, by making them eligible for investment in corporate bonds and commercial papers. A vostro account allows foreign banks to conduct transactions, manage payments and facilitate trade settlements through a domestic bank.

THE UPI PUSH

Companies engaged in import and export typically settle payments in one of four major global currencies—the US dollar (USD), Japanese yen (JPY), British pound (GBP) and the euro (EUR). In the forex market, currencies are traded in pairs such as USD/JPY or EUR/USD. The exchange rate between these pairs determines how much of one currency is needed to buy another—a key factor in international trade transactions. The dollar remains the world's most traded currency, its dominance underpinned by the size and strength of the US economy and its influence in global financial markets. As of the second quarter of 2024, global central banks held over half of their forex reserves in dollars.

India, meanwhile, has already begun taking steps to extend its homegrown Unified Payments Interface (UPI) beyond its borders. Designed for rupee-based digital transactions through Indian bank accounts, UPI is now being linked with the UAE's Aani (Instant Payment) platform to enable seamless cross-border payments. The integration allows Indians in the UAE to send and receive money from India using their international mobile numbers with participating banks, while UAE merchants can accept UPI payments from Indian customers via QR codes.

Efforts to take the rupee global are not new. Raghuram Rajan, former RBI governor, had argued in 2013 that as India expanded its trade, there would be "more push for settle in rupees". In 2021, an RBI report noted that the "emergence of INR as an international currency appears inevitable", adding, "greater internationalisation of the INR can lower transaction costs of cross-border trade and investment operations by mitigating exchange rate risk". The central bank later allowed Indian banks to open special vostro accounts to settle trade transactions in rupees. Following the Russia-Ukraine war, several Russian banks opened vostro accounts with Indian banks, enabling Indian oil importers to pay Russian suppliers in rupees and Indian exporters to receive payments in the same currency.

MEASURES TO GLOBALISE INR

- **Authorised banks will be permitted to lend in INR to non-residents from Bhutan, Nepal and Sri Lanka for trade-related transactions**
- **Setting transparent currency rates for India's key trading partners to make rupee pricing predictable and encourage its use in global trade settlements**
- **Permitting wider use of Special Rupee Vostro Accounts balances, which currently enable trade settlement in local currency, by allowing investment in corporate bonds and commercial papers**

INDIA HAS ALREADY TAKEN STEPS TO EXTEND ITS HOMEGROWN UPI BEYOND ITS BORDERS. UPI IS BEING LINKED WITH THE UAE'S AANI (INSTANT PAYMENT)

WORLD STAGE

"The latest move by the RBI makes it possible to do trade in Indian currency," says Madan Sabnavis, chief economist at Bank of Baroda. "Those who receive rupees from India can use it for trade with India. It is a case for popularising the use of the rupee." Greater use of the rupee in international trade helps Indian companies hedge against currency fluctuations, reducing business costs and making exports more competitive. Moreover, the need for maintaining an adequate level of foreign exchange reserves can be reduced if a major share of India's trade can be settled in the rupee, according to Biswajit Dhar, distinguished professor, Council for Social Development, New Delhi.

But the challenges to internationalising the rupee lie on two fronts. First, rupee trade arrangements are not easy to implement—a fact amply demonstrated in India's dealings with Russia. "Large rupee balances held by Russia stemming out of India's burgeoning trade deficit have been a constraint," Dhar says. The second problem, he adds, is that taking a currency global could make the pursuit of exchange rate stability in a country more difficult, unless supported by robust domestic financial markets.

Despite these hurdles, the RBI's latest measures mark an important step toward gradually positioning the rupee as a credible player in the global currency system. ■